

expenditure as a percentage of operating income; cost-to-average asset ratio: operating expenditure as a percentage of average total assets (i.e., average of closing balance of FY23 and FY24); absolute increase in return on assets (ROA); basis points increase YoY in ROA; percentage increase in ratio of operating profit to total income YoY; profit per employee.

Quality of earnings: ROA: ratio of net profit to average total assets (i.e., average of closing balance of FY23 and FY24); fee income as a percentage of total income; return on capital employed (ROCE): reported net profit divided by average net worth; NIM: total interest income minus total interest expenses as a percentage of average interest-earning assets; penalties imposed by RBI during the year.



Capital adequacy and liquidity coverage:

Capital-to-risk-weighted-assets ratio for FY24; Tier-I capital: total of equity capital and disclosed reserves; liquidity coverage ratio: ratio of high-quality liquid assets (HQLA) to total net cash outflows over the following 30 calendar days.

Final scoring and rating

A score was assigned for each bank on each of the sub-parameters, based on its rank on those parameters. That was multiplied by the parameter's weight to arrive at the final score. The results were aggregated to arrive at the final rankings based on the total score.

Banks not considered

In total, 38 banks were not considered due to mergers, liquidation, non-availability of annual reports in the public domain for FY24, and foreign banks with balance sheet size of less than ₹25,000 crore.

QUANTITATIVE AWARDS

(Upper Layer NBFCs)

For rankings based on pure financial performance, data was taken from published annual reports of NBFCs for FY21 to FY24. The survey covered 10 NBFCs out of 15 classified in the upper layer (NBFC-UL) by the RBI. One classified as a core investment company and four involved in mergers in the last three years were not considered.

The ranking process

NBFCs were judged on three parameters—growth, size, and strength—divided into 29 sub-parameters:

Growth: There were six sub-parameters in this category, which included growth over FY23 in loans, alongside three-year CAGR in loans; growth over FY23 in borrowings, alongside three-

year CAGR in borrowings; and growth over FY23 in operating profit, alongside three-year CAGR in operating profit.

Size: There were two sub-parameters: size of operating profits and size of balance sheet as on March 31, 2024.

Strength: There were five overarching sub-parameters:

Quality of assets: Increase in gross Stage-3 loans ratio: additions to gross Stage-3 loans during the year as percentage of average gross loans (i.e. average of closing balance of FY23 and FY24); PCR: provisioning as on March 31, 2024, for Stage-3 loans as percentage of gross Stage-3 loans as on March 31, 2024; net Stage-3 loans as ratio of net loans: gross Stage-3 loans closing balance net of provisioning expressed as percentage of net loans as at March 31, 2024; gross stage 3 loan ratio: gross Stage-3 loan balance as a percentage of gross loan balance as on March 31, 2024; impairment on loans to gross loans ratio: impairment on loans debited to the statement of profit and loss including loans written off as bad debts (net of recoveries) in FY24 as a percentage of gross loan balance as on March 31, 2024; gross Stage-2 loan ratio: gross Stage-2 loan balance as a percentage of gross loan balance as on March 31, 2024; secured loans to total loans: secured gross loans to total gross loans as on March 31, 2024.

Productivity and efficiency:

Cost-to-income ratio: operating expenditure as a percentage of operating income; cost-to-average asset ratio: operating expenditure as a percentage of average total assets;